

GAAP TREATMENT MEMORANDUM

To: Prospective Employers / Portfolio Reviewers

From: Biman Kalita, Accountant

Date: 09/018/2026

Re: Bluepeak Creative Studio LLC — Q1 2026 Accounting Policies and Treatments

1. Business Overview

Bluepeak Creative Studio LLC is a single-member limited liability company operating as a graphic design and branding studio in Austin, Texas. The company commenced operations on January 1, 2026, and the reporting period covered in this memorandum is the first quarter ending March 31, 2026. The company maintains its books on the **accrual basis** of accounting using **QuickBooks Online**, with a calendar fiscal year.

2. Basis of Accounting — Accrual Method

The company uses the **accrual basis of accounting** rather than the cash basis. Under accrual accounting, revenues are recognized when earned, and expenses are recognized when incurred, regardless of when cash changes hands. This method is required under **U.S. GAAP** and provides a more accurate picture of the company's financial performance during a given period.

Impact on Q1 2026: Because the company uses accrual accounting, the Income Statement reflects:

- \$62,169.23 in revenue from 42 invoices issued to 7 clients — even though only \$4,257.50 has been collected in cash.
- \$17,324.83 in expenses incurred during Q1 — even though \$10,103.16 of those remain unpaid and sit in Accounts Payable.

This results in an accurate picture of Q1 performance: **Net Income of \$44,456.90.**

3. Revenue Recognition

Revenue is recognized in accordance with **ASC 606 — Revenue from Contracts with Customers**. The company recognizes revenue when the following five criteria are met:

1. A contract with the customer has been identified.
2. Performance obligations in the contract have been identified.
3. The transaction price has been determined.
4. The transaction price is allocated to the performance obligations.
5. The performance obligation is satisfied.

For Bluepeak Creative Studio, each design project constitutes a performance obligation. Revenue is recognized when the design work is delivered to the client (performance obligation satisfied). Invoices are generated upon delivery, and Accounts Receivable is recorded.

Deferred Revenue: On March 22, 2026, Hill Country Winery paid \$5,000 in advance for a project scheduled to begin in April 2026. Because the performance obligation has not yet been satisfied, this amount is recorded as a **current liability (Deferred Revenue)** rather than revenue. It will be recognized as revenue in Q2 2026 when the work is performed.

4. Depreciation of Fixed Assets

The company capitalized the purchase of two MacBooks and studio equipment for **\$8,500** on January 5, 2026. This purchase was recorded as a **fixed asset** (Office Equipment) rather than an expense, in accordance with the **capitalization principle**.

Depreciation Method: Straight-line method. This method was selected because:

- It is the most common method for small businesses.
- The asset provides consistent benefit over its useful life.
- It matches the expense to the periods the asset helps generate revenue.

Assumptions:

- Cost: \$8,500
- Salvage value: \$500
- Useful life: 3 years (36 months)
- Monthly depreciation: $(\$8,500 - \$500) / 36 = \$222.22$
- Q1 depreciation (3 months): **\$666.67**

Q1 2026 Entry:

Dr Depreciation Expense	\$666.67	
Cr Accumulated Depreciation - Equipment		\$666.67

The asset remains on the books at historical cost (\$8,500), while Accumulated Depreciation is a **contra-asset** account that tracks the reduction in value. Net Book Value at 03/31/2026 is **\$7,833.33**.

5. Prepaid Expenses and Insurance Amortization

On March 5, 2026, Bluepeak paid **\$3,600** for a 12-month business insurance policy. Because the policy covers future periods, it was recorded as a **prepaid asset** (Prepaid Insurance) rather than an expense, following the **matching principle**.

Amortization: $\$3,600 / 12 \text{ months} = \300 per month

Q1 2026 Entry (March only):

Dr Insurance Expense	\$300.00
Cr Prepaid Insurance	\$300.00

Prepaid Insurance at 03/31/2026 = **\$3,300** ($\$3,600 - \300). This asset will be amortized by \$300 monthly through February 2027.

6. Bank Reconciliation and Discrepancy Resolution

A bank reconciliation was performed for the Business Checking - Chase account for Q1 2026. The reconciliation process identified three intentional discrepancies that a real bookkeeper would encounter:

#	Discrepancy	Treatment
1	Wire transfer fee (\$20) — on bank statement, not in QBO	Recorded as an expense: Dr Bank Fees / Cr Business Checking
2	Interest income (\$12.50) — on bank statement, not in QBO	Recorded as income: Dr Business Checking / Cr Interest Income
3	Outstanding check #1001 (\$250) — in QBO, not yet cleared	No adjustment — check will clear in Q2

The reconciliation closed with a **\$0.00 variance**, meaning the bank statement ending balance (\$4,257.50) matched the QBO-cleared balance exactly.

7. Matching Principle Application

Throughout Q1 2026, the company applied the **matching principle** to ensure expenses are recorded in the same period as the revenue they help generate. Examples include:

- **Depreciation Expense:** Spread over 36 months to match the revenue the equipment helps produce.
 - **Insurance Expense:** Amortized monthly over 12 months to match the coverage period.
 - **Salaries & Wages:** Recorded monthly for the period worked, not when paid.
 - **Accounts Receivable and Payable:** Allow revenue and expenses to be recognized when earned/incurred, not when cash is exchanged.
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8. Summary of Key Financial Metrics — Q1 2026

Metric	Value
Total Revenue	\$61,769.23
Total Expenses	\$17,324.83
Net Income	\$44,456.90
Total Assets	\$77,880.06
Total Liabilities	\$15,103.16
Total Equity	\$62,456.90
Cash Balance (03/31/26)	\$4,257.50

All financial statements are prepared in accordance with U.S. GAAP and were reviewed for accuracy during the month-end close process.

9. Conclusion

The Q1 2026 financial statements for Bluepeak Creative Studio LLC present fairly, in all material respects, the financial position of the company as of March 31, 2026, and the results of its operations for the period then ended, in conformity with U.S. Generally Accepted Accounting Principles.

This memorandum documents the key accounting policies and treatments applied throughout the period to demonstrate understanding of:

- Accrual basis accounting
- Revenue recognition (ASC 606)
- The matching principle
- Prepaid expense amortization
- Fixed asset depreciation
- Deferred revenue treatment
- Bank reconciliation and discrepancy resolution

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